

EXHIBIT 10.7

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**IRREVOCABLE STANDBY LETTER OF CREDIT NO.
SVBSF002535**

**THE ATTACHED LETTER OF CREDIT
ISSUED ON YOUR BEHALF IS SECURED
BY YOUR PLEDGED CERTIFICATE OF**

**DEPOSIT NO.
8800058434**

DATE: NOVEMBER 05, 2003

BENEFICIARY:

REMEC, INC.

3790 VIA DE LA VALLE

SAN DIEGO, CALIFORNIA 92014

ATTENTION: VP, GENERAL COUNSEL

AS

"SUBLESSOR"

APPLICANT:

DIGIRAD CORPORATION

9350 TRADE PLACE

SAN DIEGO, CALIFORNIA 92126-6334

AS

"SUBLESSEE"

AMOUNT:

**US\$120,000.00 (U.S. DOLLARS ONE HUNDRED
TWENTY THOUSAND EXACTLY)**

EXPIRATION

DATE: FEBRUARY 28, 2005

LOCATION: SANTA CLARA, CALIFORNIA

LADIES

AND GENTLEMEN:

WE

HEREBY ESTABLISH OUR IRREVOCABLE STANDBY LETTER OF CREDIT NO. SVBSF002535

IN YOUR FAVOR. THIS LETTER OF CREDIT IS
AVAILABLE BY SIGHT PAYMENT WITH OURSELVES ONLY AGAINST PRESENTATION AT THIS
OFFICE OF THE FOLLOWING DOCUMENTS:

1. THE

ORIGINAL OF THIS LETTER OF CREDIT AND ALL AMENDMENT (S), IF ANY.

2. YOUR

SIGHT DRAFT DRAWN ON US IN THE FORM ATTACHED HERETO AS EXHIBIT "A".

3. A

DATED CERTIFICATION PURPORTEDLY SIGNED BY AN AUTHORIZED OFFICER OR
REPRESENTATIVE OF THE BENEFICIARY, FOLLOWED BY ITS PRINTED NAME AND DESIGNATED
TITLE, STATING EITHER OF THE FOLLOWING:

(A.) "AN

EVENT OF DEFAULT (AS DEFINED IN THE SUBLEASE) HAS OCCURRED BY DIGIRAD
CORPORATION AS SUBLESSEE UNDER THAT CERTAIN SUBLEASE AGREEMENT BY AND
BETWEEN

SUBLESSEE, AND BENEFICIARY, AS SUBLESSOR.

FURTHERMORE THIS IS TO CERTIFY THAT:

(I) SUBLESSOR HAS GIVEN WRITTEN NOTICE TO SUBLESSEE TO CURE THE
DEFAULT AND SUCH DEFAULT HAS NOT BEEN CURED UP TO THIS DATE OF DRAWING UNDER
SILICON VALLEY BANK IRREVOCABLE STANDBY LETTER OF CREDIT NO. SVBSF002535
AND ALL APPLICABLE CURE PERIOD (IF ANY) HAS EXPIRED; AND (II) THE TERMS
AND CONDITIONS OF THE SUBLEASE AUTHORIZE SUBLESSOR TO NOW DRAW DOWN ON THE
LETTER
OF CREDIT."

OR

(B.) "WITHIN

THIRTY (30) DAYS PRIOR TO THE EXPIRY DATE OF SILICON VALLEY BANK IRREVOCABLE
STANDBY LETTER OF CREDIT NO. SVBSF002535 BENEFICIARY HAS NOT RECEIVED AN
EXTENSION AT LEAST FOR ONE YEAR TO THE EXISTING LETTER OF CREDIT OR A
REPLACEMENT

LETTER OF CREDIT SATISFACTORY TO THE BENEFICIARY."

PARTIAL

DRAWS ARE ALLOWED.

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THIS

LETTER OF CREDIT MUST ACCOMPANY ANY DRAWINGS HEREUNDER FOR ENDORSEMENT OF
THE
DRAWING AMOUNT AND WILL BE RETURNED TO THE BENEFICIARY UNLESS IT IS FULLY
UTILIZED.

THE

AMOUNT OF THIS LETTER OF CREDIT SHALL BE AUTOMATICALLY DECREASED WITHOUT
AMENDMENT(S) TO THE NEW AGGREGATE AMOUNT(S) ON THE EFFECTIVE DATES BELOW,

PROVIDED THAT THE AVAILABLE AMOUNT EXCEEDS THE AGGREGATE AMOUNT(S) LISTED BELOW

AND ISSUING BANK HAS NOT RECEIVED WRITTEN NOTICE FROM AN AUTHORIZED REPRESENTATIVE OF THE BENEFICIARY BY OVERNIGHT COURIER AT LEAST TEN (10) BUSINESS DAYS PRIOR TO ANY SCHEDULED REDUCTION DATE, ADVISING ISSUING BANK THAT APPLICANT IS IN DEFAULT AND ANY SCHEDULED DECREASE IN THE AGGREGATE AVAILABLE **AMOUNT SHOULD NOT BE EFFECTED:**

**EFFECTIVE
DATE**

**NEW
AGGREGATE AMOUNT**

**NOVEMBER 1,
2005**

US\$60,000.00

THIS

LETTER OF CREDIT SHALL BE AUTOMATICALLY EXTENDED FOR AN ADDITIONAL PERIOD OF ONE YEAR, WITHOUT AMENDMENT, FROM THE PRESENT OR EACH FUTURE EXPIRATION DATE UNLESS AT LEAST THIRTY (30) DAYS PRIOR TO THE THEN CURRENT EXPIRATION DATE WE NOTIFY YOU BY REGISTERED MAIL/OVERNIGHT COURIER SERVICE AT THE ABOVE ADDRESS THAT THIS LETTER OF CREDIT WILL NOT BE EXTENDED BEYOND THE CURRENT EXPIRATION DATE. BUT IN ANY EVENT THIS LETTER OF CREDIT WILL NOT BE EXTENDED BEYOND FEBRUARY 28, 2010 WHICH SHALL BE THE FINAL EXPIRATION DATE OF THIS LETTER OF CREDIT.

THE

DATE THIS LETTER OF CREDIT EXPIRES IN ACCORDANCE WITH THE ABOVE PROVISION IS THE **"FINAL EXPIRY DATE". UPON THE** OCCURRENCE OF THE FINAL EXPIRY DATE THIS LETTER OF CREDIT SHALL FULLY AND FINALLY EXPIRE AND NO PRESENTATIONS MADE UNDER THIS LETTER OF CREDIT AFTER SUCH **DATE WILL BE HONORED.**

THIS

LETTER OF CREDIT MAY ONLY BE TRANSFERRED IN ITS ENTIRETY BY THE ISSUING BANK UPON OUR RECEIPT OF THE ATTACHED EXHIBIT "B" DULY COMPLETED AND EXECUTED BY THE BENEFICIARY AND ACCOMPANIED BY THE ORIGINAL LETTER OF CREDIT AND ALL AMENDMENT(S), IF ANY, TOGETHER WITH THE PAYMENT OF OUR TRANSFER FEE OF 1/4 OF **1% OF THE TRANSFER AMOUNT (MINIMUM US\$250.00).** TRANSFER FEES ARE PAYABLE BY WHICHEVER PARTY IS REQUIRING THE TRANSFER.

DRAFT(S)

AND DOCUMENTS MUST INDICATE THE NUMBER AND DATE OF THIS LETTER OF CREDIT.

DOCUMENTS

MUST BE DELIVERED TO US DURING REGULAR BUSINESS HOURS ON A BUSINESS DAY OR FORWARDED TO US BY OVERNIGHT DELIVERY SERVICE TO: SILICON VALLEY BANK, 3003 TASMAN DRIVE, 2ND FLOOR, MAIL SORT HF210, SANTA CLARA, CALIFORNIA 95054, ATTENTION: INTERNATIONAL DIVISION - STANDBY LETTER OF CREDIT NEGOTIATION

DEPARTMENT (THE "BANK'S OFFICE).

AS

USED HEREIN, THE TERM "BUSINESS DAY" MEANS A DAY ON WHICH WE ARE OPEN AT OUR ABOVE ADDRESS IN SANTA CLARA, CALIFORNIA TO CONDUCT OUR LETTER OF CREDIT

BUSINESS. NOTWITHSTANDING ANY PROVISION

TO THE CONTRARY IN THE UCP (AS HEREINAFTER DEFINED), IF THE EXPIRY DATE OR THE FINAL EXPIRY DATE IS NOT A BUSINESS DAY THEN SUCH DATE SHALL BE AUTOMATICALLY EXTENDED TO THE NEXT SUCCEEDING DATE WHICH IS A BUSINESS DAY.

WE

HEREBY ENGAGE WITH YOU THAT DRAFT(S) DRAWN AND/OR DOCUMENTS PRESENTED UNDER AND

IN ACCORDANCE WITH THE TERMS AND CONDITIONS OF THIS LETTER OF CREDIT

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SHALL

BE DULY HONORED UPON PRESENTATION TO SILICON VALLEY BANK, IF PRESENTED ON OR **BEFORE THE EXPIRATION DATE OF THIS CREDIT.**

THIS

LETTER OF CREDIT IS SUBJECT TO THE UNIFORM CUSTOMS AND PRACTICE FOR DOCUMENTARY

CREDITS (1993 REVISION), INTERNATIONAL CHAMBER OF COMMERCE, PUBLICATION **NO. 500 (THE "UCP").**

SILICON

VALLEY BANK,

/s/ Edward D. Machado

/s/ Alice E. Daiuz

**AUTHORIZED
SIGNATURE**

**AUTHORIZED
SIGNATURE**

Edward D. Machado

Alice E. Daiuz

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**IRREVOCABLE
STANDBY LETTER OF CREDIT NO.**

DATE:

EXHIBIT "A"

SIGHT DRAFT/BILL OF EXCHANGE

DATE:

REF. NO.

AT SIGHT OF THIS BILL OF EXCHANGE

PAY TO THE ORDER OF

US\$

US DOLLARS

**“DRAWN UNDER
SILICON VALLEY BANK
, SANTA CLARA, CALIFORNIA, IRREVOCABLE
STANDBY LETTER OF CREDIT NUMBER NO.
SVBSF**

DATED

**,
2003”**

TO:

SILICON VALLEY BANK

3003 TASMAN DRIVE

SANTA CLARA, CA 95054

**(INSERT
NAME OF BENEFICIARY)**

Authorized Signature

**GUIDELINES TO PREPARE THE SIGHT
DRAFT OR BILL OF EXCHANGE:**

1.

DATE

**INSERT
ISSUANCE DATE OF DRAFT OR BILL OF EXCHANGE.**

2.

**REF.
NO.**

**INSERT
YOUR REFERENCE NUMBER IF ANY.**

3.

**PAY
TO THE ORDER OF:**

**INSERT
NAME OF BENEFICIARY**

4.

US\$

**INSERT
AMOUNT OF DRAWING IN NUMERALS/FIGURES.**

5.

**US
DOLLARS**

**INSERT
AMOUNT OF DRAWING IN WORDS.**

6.

LETTER OF CREDIT NUMBER

**INSERT
THE LAST DIGITS OF OUR STANDBY L/C NUMBER THAT
PERTAINS
TO THE DRAWING.**

7.

DATED

**INSERT
THE ISSUANCE DATE OF OUR STANDBY L/C.**

NOTE:

BENEFICIARY
SHOULD ENDORSE THE BACK OF THE SIGHT DRAFT OR BILL OF EXCHANGE AS YOU WOULD A
CHECK.

IF
YOU NEED FURTHER ASSISTANCE IN COMPLETING THIS SIGHT DRAFT OR BILL OF EXCHANGE,
PLEASE CALL OUR L/C PAYMENT SECTION AND ASK FOR:
ALICE DALUZ
AT (408) 654-7120.

**SILICON
VALLEY BANK**

EXHIBIT "B"

DATE:

TO:

SILICON

VALLEY BANK

3003

TASMAN DRIVE

RE:

SANTA

CLARA, CA 95054

STANDBY

LETTER OF CREDIT

ATTN:

INTERNATIONAL DIVISION

NO. SVB

ISSUED

BY

STANDBY LETTERS OF CREDIT

SILICON

VALLEY BANK, SANTA CLARA

L/C

AMOUNT:

GENTLEMEN:

FOR

VALUE RECEIVED, THE UNDERSIGNED BENEFICIARY HEREBY IRREVOCABLY TRANSFERS TO:

(NAME

OF TRANSFEREE)

(ADDRESS)

ALL

RIGHTS OF THE UNDERSIGNED BENEFICIARY TO DRAW UNDER THE ABOVE LETTER OF CREDIT UP TO ITS AVAILABLE AMOUNT AS SHOWN ABOVE AS OF THE DATE OF THIS TRANSFER.

BY

THIS TRANSFER, ALL RIGHTS OF THE UNDERSIGNED BENEFICIARY IN SUCH LETTER OF **CREDIT ARE TRANSFERRED TO THE TRANSFEREE.**

TRANSFEREE SHALL HAVE THE SOLE RIGHTS AS BENEFICIARY THEREOF, INCLUDING SOLE RIGHTS RELATING TO ANY AMENDMENTS, WHETHER INCREASES OR EXTENSIONS OR OTHER AMENDMENTS, AND WHETHER NOW EXISTING OR HEREAFTER MADE. ALL AMENDMENTS ARE TO BE ADVISED DIRECT TO THE TRANSFEREE WITHOUT NECESSITY OF ANY CONSENT OF OR NOTICE TO THE UNDERSIGNED **BENEFICIARY.**

THE

ORIGINAL OF SUCH LETTER OF CREDIT IS RETURNED HERewith, AND WE ASK YOU TO

ENDORSE THE TRANSFER ON THE REVERSE THEREOF, AND FORWARD IT DIRECTLY TO THE TRANSFEREE

WITH YOUR CUSTOMARY NOTICE OF TRANSFER.

SINCERELY,

(BENEFICIARY'S NAME)

**SIGNATURE
OF BENEFICIARY**

**SIGNATURE
AUTHENTICATED**

**(NAME
OF BANK) / (NOTARY PUBLIC)**

AUTHORIZED SIGNATURE